

COMMITTEE AMENDMENT
HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend SB1946 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Amendment submitted by: Anthony Moore

Adopted: _____

Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

PROPOSED POLICY
COMMITTEE SUBSTITUTE
FOR ENGROSSED
SENATE BILL NO. 1946

By: Murdock of the Senate

and

Moore of the House

PROPOSED POLICY COMMITTEE SUBSTITUTE

An Act relating to alcoholic beverages; amending 37A O.S. 2021, Section 2-103, as amended by Section 5, Chapter 338, O.S.L. 2023 (37A O.S. Supp. 2025, Section 2-103), which relates to distiller licenses; increasing certain number of allowed noncontiguous locations allowed for certain licensee; allowing certain licensee to sell certain sample spirits at certain public events; allowing certain spirits to be sold in certain controlled area; establishing certain area to be considered certain distillery premises; updating statutory language; amending 37A O.S. 2021, Section 3-108, which relates to licensed distributors; prohibiting a brewer or smaller brewer from requiring a distributor to accept certain deliveries; allowing a beer distributor to refuse certain deliveries without penalty or retaliation; amending 37A O.S. 2021, Section 3-116, as amended by Section 1, Chapter 238, O.S.L. 2023 (37A O.S. Supp. 2025, Section 3-116), which relates to wine and spirit wholesalers; prohibiting a manufacturer or nonresident seller from requiring a wine and spirits wholesaler to accept certain deliveries; allowing a wine and spirits wholesaler to refuse certain deliveries without penalty or retaliation; and providing an effective date.

1 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

2 SECTION 1. AMENDATORY 37A O.S. 2021, Section 2-103, as
3 amended by Section 5, Chapter 338, O.S.L. 2023 (37A O.S. Supp. 2025,
4 Section 2-103), is amended to read as follows:

5 Section 2-103. A. A distiller license shall authorize the
6 holder thereof:

7 1. To manufacture, bottle, package and store spirits on
8 licensed premises;

9 2. To sell spirits in this state to licensed wholesalers and
10 manufacturers only;

11 3. To sell spirits out of this state to qualified persons; to
12 purchase from licensed distillers and rectifiers in this state, and
13 import spirits from without this state for manufacturing purposes in
14 accordance with federal laws and regulations;

15 4. To serve free samples of spirits produced only by the
16 licensee to visitors twenty-one (21) years of age and older. For
17 purposes of this section, no visitor may sample more than a total of
18 three (3) fluid ounces of spirits per day. The distiller shall
19 restrict the distribution and consumption of spirits samples to an
20 area within the licensed premises designated by the distiller. A
21 current floor plan that includes the designated sampling area shall
22 be on file with the ~~ABLE~~ Alcoholic Beverage Laws Enforcement (ABLE)
23 Commission. No visitor under twenty-one (21) years of age shall be
24 permitted to enter the designated sampling area when samples are

1 being distributed and consumed. Samples of spirits served by a
2 distiller under this section shall not be considered a sale of
3 spirits within the meaning of Article XXVIII-A of the Oklahoma
4 Constitution or Section 1-103 of this title; provided, such samples
5 of spirits shall be considered removed or withdrawn from the
6 distillery for use or consumption within the meaning of Section 5-
7 110 of this title for excise tax determination and reporting
8 requirements;

9 5. To sell spirits produced by the licensee for either on-
10 premises or off-premises consumption to consumers on the licensed
11 distillery premises or in an area controlled by the licensee located
12 contiguous to the licensed distillery premises and at ~~one (1)~~
13 ~~location~~ two (2) locations controlled by the licensee located in the
14 same ~~county~~ state as the licensed distillery premises but not
15 contiguous to the licensed distillery premises. Spirits offered for
16 sale by the Oklahoma licensed distiller will have been sold to and
17 shipped to an Oklahoma licensed wine and spirits wholesaler and then
18 made available for purchase by the Oklahoma licensed distiller for
19 sale; and

20 6. To sell spirits and sample spirits at public events such as
21 trade shows or festivals. Products offered for sale by the Oklahoma
22 licensed distiller will have been sold to and shipped to an Oklahoma
23 licensed wine and spirits wholesaler and then made available for
24 purchase by the Oklahoma licensed distiller. Spirits offered for

1 on-premises consumption shall be in an area controlled by the
2 distillery and such area shall be considered the distillery
3 premises.

4 B. Spirits sold pursuant to paragraphs 5 and 6 of subsection A
5 of this section shall not exceed fifteen thousand (15,000) gallons
6 per calendar year in combination.

7 C. Spirits sold pursuant to paragraphs 5 and 6 of subsection A
8 of this section shall be a final sale. Licensed distillers may
9 offer for sale ~~non-alcoholic~~ nonalcoholic substances which may be
10 added to spirits by the consumer after final sale. Substances used
11 for on-premises consumption shall be ~~non-alcoholic~~ nonalcoholic in
12 nature and shall not be considered part of the manufacturing
13 process.

14 SECTION 2. AMENDATORY 37A O.S. 2021, Section 3-108, is
15 amended to read as follows:

16 Section 3-108. A. The provisions of this section shall be in
17 effect except as otherwise provided in Article XXVIII-A of the
18 Oklahoma Constitution.

19 B. Subject to the provisions of subsection D of this section,
20 every licensed brewer or cider manufacturer authorized to sell its
21 beer or cider in this state shall:

22 1. Enter into a distributor agreement with a licensed
23 distributor, as defined herein, to sell the designated brands,
24 including brand extensions, of the brewer or cider manufacturer.

1 The agreement shall designate the sales territory of that licensed
2 distributor and the designated brands to be sold by the licensed
3 distributor. All such distributor agreements shall specifically
4 authorize this sale of the designated brands by a licensed
5 distributor within that sales territory. All such distributor
6 agreements shall further provide that the licensed brewer or cider
7 manufacturer who desires to sell a brand extension of a low-point
8 beer in Oklahoma must assign the low-point beer brand extension to
9 the licensed distributor to whom the licensed brewer or cider
10 manufacturer granted the exclusive sales territory to the low-point
11 beer brand from which the brand extension resulted;

12 2. Sell its registered and approved designated brands only to a
13 licensed distributor with whom that brewer or cider manufacturer has
14 a distributor agreement designating the sales territory of the
15 licensed distributor and the designated brands to be sold by the
16 licensed distributor;

17 3. Authorize only one licensed distributor for each designated
18 sales territory. Such licensed distributor shall be the only
19 licensed distributor for the designated brands of the authorizing
20 brewer or cider manufacturer within that designated sales territory;
21 and

22 4. Designate who is responsible for the distribution of its
23 designated brands.
24

1 C. Subject to the provisions of subsection D of this section,
2 any and all licensed distributors possessing the rights to
3 distribute a low-point beer brand in a specific territory prior to
4 the introduction of that low-point beer's correlating beer brand
5 extension in that specific territory shall retain the right to
6 distribute the low-point beer from which the brand extension
7 resulted.

8 D. 1. No later than August 2, 2018, a brewer shall assign the
9 exclusive right to distribute a beer brand, including brand
10 extensions thereof, to the low-point beer distributor who was, prior
11 to October 1, 2018, assigned the exclusive distribution rights to
12 the low-point beer from which the brand extension arose without
13 charge or payment of compensation, unless the low-point beer
14 distributor is, on October 1, 2018, a brewer of beer or low-point
15 beer and has therefore been distributing low-point beer pursuant to
16 a license to so distribute, subject to the provisions of subsection
17 E of this section. This subsection shall not apply to a small
18 brewer as defined in Section 1-103 of this title.

19 2. With respect to brand extensions which arise after October
20 1, 2018, the brewer or cider manufacturer shall assign the exclusive
21 right to distribute the brand extension to the distributor who has
22 been assigned the exclusive distribution rights to the beer or cider
23 from which the brand extension arose, without charge or payment of
24 compensation.

1 3. With respect to a brand of beer or cider which was, prior to
2 April 15, 2017, distributed in this state only as strong beer or
3 cider pursuant to the Oklahoma Alcoholic Beverage Control Act then
4 in effect, if a low-point version of the brand is introduced after
5 April 15, 2017, no later than August 2, 2018, the brewer or cider
6 manufacturer shall assign the exclusive rights to distribute the
7 low-point version of the brand to the distributor who was,
8 immediately prior to the introduction of the low-point version of
9 the brand, assigned the exclusive distribution rights to the strong
10 version of the brand without charge or payment of compensation.

11 4. No later than August 2, 2018, with respect to dual strength
12 beer, the brewer thereof shall assign the exclusive right to
13 distribute the brands represented by the dual strength beer to
14 either the low-point beer distributor or the nonresident seller who
15 had theretofore been assigned the exclusive distribution rights in
16 the territory to either version of the dual strength beer; provided,
17 however, whichever party is selected by the brewer must compensate
18 the party that was not selected by the brewer for the loss of the
19 distribution rights with respect to that particular territory.
20 Whichever party is selected shall obtain the requisite distributor
21 license and shall be subject to the provisions of the Oklahoma
22 Alcoholic Beverage Control Act.

23 5. Compensation for the purposes of this provision shall be the
24 fair market value of the party losing its distribution rights with

1 respect to the beer within that specific territory. Fair market
2 value shall be determined as set forth in Section 3-111 of this
3 title and shall take into account all aspects of brand valuation,
4 including but not limited to:

- 5 a. the diminished value of the distribution of one
6 version of beer as a consequence of the subsequent
7 introduction of the other version,
- 8 b. the expected annual sales and earnings of the
9 distributor agreement,
- 10 c. the length of time the existing distributor held in
11 the distribution sales agreement, and
- 12 d. any other relevant items of value, such as goodwill
13 and going concern.

14 E. If a brewer, whether directly or through an affiliate,
15 maintained one or more licenses to distribute low-point beer in this
16 state prior to October 1, 2018, then up to two of the brewer's low-
17 point beer distribution licenses shall automatically convert to beer
18 distribution licenses on October 1, 2018, and such brewer shall be
19 permitted to continue to distribute beer in two territories within
20 which it currently distributes without the appointment of a
21 distributor for such period of time as determined by the Legislature
22 and consistent with the Constitution of the State of Oklahoma;
23 provided however, it shall not be permitted to distribute beer
24 outside of the territory unless it enters into a distributor

1 agreement with an independent licensed distributor as provided in
2 paragraph 1 of subsection B of this section. This section shall not
3 apply to small brewers that have elected to self-distribute.

4 F. If, on October 1, 2018, a licensed distributor possesses
5 inventory of a brand that it is no longer authorized to distribute
6 within this state, such inventory shall be sold to a licensed
7 distributor authorized to distribute such brand, at a price not to
8 exceed the total of the actual purchase price of the selling
9 distributor plus the cost of inbound and outbound shipping to the
10 purchasing distributor. The provisions of this paragraph shall not
11 apply to inventory purchased on or after September 15, 2018.

12 G. No brewer or small brewer may require a distributor to
13 accept delivery of any beer that the beer distributor did not order.
14 A beer distributor may refuse delivery of any unordered product
15 without penalty or retaliation.

16 SECTION 3. AMENDATORY 37A O.S. 2021, Section 3-116, as
17 amended by Section 1, Chapter 238, O.S.L. 2023 (37A O.S. Supp. 2025,
18 Section 3-116), is amended to read as follows:

19 Section 3-116. A. Any manufacturer or subsidiary of a
20 manufacturer who markets its products solely through a subsidiary or
21 subsidiaries, a distiller, rectifier, bottler, winemaker or importer
22 of alcoholic beverages, bottled or made in a foreign country, either
23 within or without this state, may sell such brands or kinds of
24 alcoholic beverages to every licensed wine and spirits wholesaler

1 who desires to purchase the same, on the same price basis and
2 without discrimination or inducements, and shall further be required
3 to sell such beverages only to those persons licensed as wine and
4 spirits wholesalers.

5 B. The provisions of subsection A of this section shall not
6 apply to a brewer except as otherwise stated herein. In the event a
7 brewer, who has entered into territorial distribution agreements
8 with beer distributors in this state, markets wine and spirits
9 products in this state either itself or through a subsidiary or
10 affiliate, then such brewer, subsidiary or affiliate may elect to
11 designate beer distributors, with whom it has entered into
12 territorial distribution agreements, as its designated wholesalers
13 for any wine and spirit products to be sold by the brewer,
14 subsidiary or affiliate within the beer distributors' existing
15 territories, provided such beer distributors must also hold a wine
16 and spirits wholesaler license. In such event, the beer
17 distributors shall be deemed designated wholesalers for the
18 territory with respect to the designated products. Provided, in the
19 event a beer distributor has not obtained a wine and spirits
20 license, has elected not to sell wine and spirits in its respective
21 territory or, in the brewer's commercially reasonable discretion, is
22 not suitable to sell wine and spirits in its respective territory,
23 then the brewer, subsidiary or affiliate may extend the territory of
24 an existing beer distributor, with whom it has entered into a

1 territorial distribution agreement and who holds a wine and spirits
2 wholesaler license, for the territory. For purposes of this
3 subsection only, the phrase "subsidiary or affiliate" shall mean any
4 entity that the brewer controls, is controlled by, or is under
5 common control with, during the time that the wine and spirits
6 brands are offered for sale in this state, and "control" shall mean
7 ownership of more than fifty percent (50%) of the voting securities
8 or assets of, or the ability to dictate the material operations of,
9 another entity. If the brewer, subsidiary or affiliate sells the
10 wine and spirits brands to a manufacturer other than one that would
11 otherwise fall within the provisions of this subsection, then the
12 rights provided in this subsection which relate to the wine and
13 spirits brands shall terminate. The rights provided to beer
14 distributors pursuant to Section 3-111 of this title shall not be
15 extended to apply to the wine or spirits brands distributed pursuant
16 to this subsection.

17 C. No manufacturer or nonresident seller shall require a wine
18 and spirits wholesaler to purchase any alcoholic beverages or any
19 goods, wares or merchandise as a condition to the wine and spirits
20 wholesaler obtaining or being entitled to purchase any alcoholic
21 beverages. No manufacturer or nonresident seller may require a wine
22 and spirits wholesaler to accept delivery of any alcoholic beverages
23 that the wine and spirits wholesaler did not order. A wine and
24

1 spirits wholesaler may refuse delivery of any unordered alcoholic
2 beverages without penalty or retaliation.

3 Violation of this section shall be a misdemeanor. Conviction
4 hereunder shall automatically revoke the violator's license.

5 D. In the event a manufacturer or nonresident seller has not
6 designated a designated wholesaler to sell its products in the
7 state, the nondesignated products shall be posted in accordance with
8 the following:

9 1. On the first business day of each month, the manufacturer
10 shall post with the ABLE Commission the price of all wine and
11 spirits it proposes to offer for sale to licensed wine and spirit
12 wholesalers in this state. All prices shall become effective on the
13 first business day of the following month and shall remain in effect
14 and unchanged for a period of not less than one (1) month. The
15 posting shall be submitted on a form approved by the ABLE Commission
16 and shall identify the brand, size, alcohol content and price of
17 each item intended to be offered for sale. No change or
18 modification of the posted price shall be permitted except upon
19 written permission from the ABLE Commission based on good cause
20 shown;

21 2. When a new item is registered, or an old item is
22 discontinued, or any change is made by a manufacturer or nonresident
23 seller as to price, age, proof, label or type of bottle of any item
24 offered for sale in this state, such new item, discontinued item or

1 change in price, age, proof, label or type of bottle of any item
2 shall be listed separately on the cover page of the price schedule
3 and, in the case of prices changed, shall reflect both the old and
4 the new price of the item changed. All new items and changes as to
5 age, proof, label or type of bottle in which any item is offered for
6 sale shall first be submitted in writing to the ABLE Commission for
7 approval under such requirements as it may deem proper. Approval or
8 disapproval of price changes shall not be required if filed in
9 conformity with the provisions of this subsection.

10 a. In addition to the foregoing requirements, the
11 manufacturer shall, at the same time, on regular forms
12 provided by the ABLE Commission, re-register all items
13 of alcoholic beverage which the manufacturer had
14 registered and offered for sale in this state during
15 the previous price period.

16 b. A short form of price posting may be permitted by the
17 ABLE Commission for any price period in which no new
18 item is offered or old item discontinued, or change is
19 made in the price, age, proof, label or type of bottle
20 of any item offered by any manufacturer. Such short
21 form shall contain only such statements as the
22 Director may require or permit;

23 3. The brand name, size, proof and type of alcoholic beverages
24 must be shown on each container sold in this state;

1 4. No brand of alcoholic beverage shall be listed on a price
2 list or posting in more than one place, or offered for sale by more
3 than one method, or at more than one price, except as provided
4 hereafter:

5 a. a manufacturer who has posted F.O.B. prices from a
6 foreign shipping point shall also list the same
7 item(s) at an F.O.B. point within the continental
8 United States. Only one United States F.O.B. point
9 shall be permitted, and

10 b. a manufacturer may list on their price list or posting
11 an item of specific size that may be packaged in more
12 than one type or design container, provided that the
13 containers being offered have been approved by the
14 ABLE Commission;

15 5. The manufacturer shall sell to the wine and spirits
16 wholesalers all items of wine and spirits at the current posted
17 price in effect on the date of the shipment as shown on the
18 manifest, bill of lading or invoice;

19 6. A full and correct copy of each such price registration
20 shall be transmitted to wine and spirits wholesalers on the same day
21 such prices are filed with or mailed to the ABLE Commission. Proof
22 of such mailing or delivery shall be furnished the ABLE Commission
23 by the manufacturer with the price registration or upon request;

1 7. The sale, or offer to sell, of any item of alcoholic
2 beverage by a manufacturer to a wine and spirits wholesaler at a
3 price not in compliance with the price posted with the ABLE
4 Commission may be deemed a violation; and

5 8. This subsection shall not apply to a manufacturer that has
6 designated a wine and spirits wholesaler to sell its product in the
7 state or a brewer who has appointed a beer distributor as a
8 designated wholesaler pursuant to subsection B of this section, with
9 respect to designated products.

10 E. Every wine and spirits wholesaler is authorized:

11 1. To ship orders to retailers non-sequentially; and

12 2. To fill orders non-sequentially only on products that have
13 been designated as being in short supply.

14 As used in this subsection, "short supply" means those
15 individual brand labels of alcoholic beverages normally supplied by
16 the manufacturer or manufacturers that, for whatever reason, lack
17 sufficient supply to fully satisfy the demand of the Oklahoma retail
18 and/or on-premises market.

19 F. Upon the manufacturer notifying the wholesalers of products
20 designated as short supply, the wholesaler shall also then notify
21 the ABLE Commission as soon as practical.

22 G. The ABLE Commission shall publish a list of every product
23 designated as short supply by the Director on its website every
24 thirty (30) days. After thirty (30) days, the wholesaler shall send

1 an updated notice to the ABLE Commission if the product or products
2 are in short supply. The ABLE Commission shall remove those
3 products if notification is not received. These activities shall
4 not constitute a violation of this title or any rule promulgated
5 under this title.

6 SECTION 4. This act shall become effective November 1, 2026.

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